ShopSmart Retail Analytics

PART 8 — BUSINESS QUESTIONS | PART 9 — BUSINESS RECOMMENDATIONS

PART 8 — BUSINESS QUESTIONS

Answers to all 10 questions

1. Which product generated the highest revenue?

Home Item 400 generated the highest revenue, totaling **Naira 21,638,851**.

2. Which store performed best?

ShopSmart Lagos performed best by revenue, generating **Naira 1,232,192,532**.

3. Which category sells the most?

The Beauty category generated the highest revenue, totaling **Naira 1,762,500,500**.

4. Which month generated the highest revenue?

December 2025 had the highest monthly revenue, totaling **Naira 660,629,527**.

5. Which customers spend the most?

Margaret Hawkins (Customer ID CUST02989) was the highest-spending customer in the workbook, with total revenue attributed to their orders of **Naira 4,343,570**.

6. Which products are frequently returned?

Beauty Item 114 and Home Item 263 were tied for the most returns, with **11 returns each**.

7. Which supplier supplies the highest number of products?

There is a tie: Dyer LLC Supplies, Jones Group Supplies, Thomas Ltd Supplies, and Garcia PLC correspond to a brand with **2 products** in the Products sheet.

8. Which stores have low inventory?

Using Stock_On_Hand less than or equal to Reorder_Level as the low-inventory rule, the stores with low-stock records are: ShopSmart Ibadan (5 products), ShopSmart Kaduna (4), ShopSmart Port Harcourt (3), ShopSmart Abuja (3), ShopSmart Lagos (2), ShopSmart Asaba (2), ShopSmart Awka (1), and ShopSmart Kano (1).

9. Which region performs best?

The South region performed best by revenue, generating **Naira 2,424,534,663**.

10. Which product category should management invest in?

Management should consider investing in the Beauty category because it generated the highest revenue. Before committing more resources, management should also compare profit margins, product return rates, inventory availability, and future customer demand.

PART 9 — BUSINESS RECOMMENDATIONS

One-page report

Introduction

The ShopSmart sales analysis highlights differences in product performance, store revenue, customer spending, and inventory availability. These findings can help management make more informed decisions about stock, marketing, and future investment.

Three Key Findings

- **1. Beauty leads by revenue.** The Beauty category generated the highest revenue.
- **2. Store and regional performance varies.** ShopSmart Lagos was the top-performing store by revenue, while the South region generated the highest regional revenue. This suggests that management should examine what successful stores and regions are doing well.
- **3. Some products need closer monitoring.** The return analysis identified products with frequent returns, and the inventory analysis found products at or below their reorder levels. These issues may affect customer satisfaction and sales if not addressed.

Three Business Recommendations

- **1. Invest selectively in the Beauty category.** Review its profit margins, sales trend, return rate, and customer demand, then prioritize well-performing Beauty products for stock replenishment and targeted promotions.
- **2. Learn from high-performing stores and regions.** Compare product mix, pricing, promotions, service, and customer demand at ShopSmart Lagos and across the South region. Apply successful practices to other stores where appropriate.
- **3. Improve inventory and returns management.** Replenish items that fall at or below reorder levels, investigate the reasons for frequent returns, and check product quality and descriptions. Monitor stock levels and return rates regularly.

One Risk Identified

Poor inventory planning and product returns could lead to stockouts, lost sales, extra costs, and reduced customer trust. Management should use accurate, regularly updated data and investigate unusual return patterns before making major decisions.

One Opportunity Identified

ShopSmart has an opportunity to increase sales by using its dashboard to identify high-demand products, strong-performing locations, and customer purchasing patterns. Targeted promotions and better stock allocation could improve performance while reducing avoidable inventory costs.

Conclusion

ShopSmart should build on strong category and regional performance while addressing frequent returns and low-stock items. Decisions should be reviewed against revenue, profit margin, inventory availability, and customer satisfaction to ensure that growth is sustainable.